

# 3.2-3.3 Keywords Worksheet

Edexcel A-Level Economics · Theme 3 · Business objectives, revenues, costs and profits | Name:

\_\_\_\_\_ Date: \_\_\_\_\_

## Part A: Match each term to its definition

Write the letter of the correct definition next to each term.

| Term                                 | Letter |
|--------------------------------------|--------|
| 1. Total revenue                     |        |
| 2. Average revenue                   |        |
| 3. Marginal revenue                  |        |
| 4. Marginal cost                     |        |
| 5. Fixed costs                       |        |
| 6. Diminishing marginal productivity |        |
| 7. Economies of scale                |        |
| 8. Minimum efficient scale           |        |
| 9. Normal profit                     |        |
| 10. Supernormal profit               |        |
| 11. Satisficing                      |        |
| 12. Sales maximisation               |        |

| Letter | Definition                                                                                        |
|--------|---------------------------------------------------------------------------------------------------|
| A      | Where AR is above AC, so profit is above the minimum needed to keep the firm in the industry      |
| B      | The fall in average cost as output rises in the long run                                          |
| C      | The extra revenue from selling one more unit                                                      |
| D      | Price multiplied by quantity sold                                                                 |
| E      | The lowest output at which long-run average cost is at its minimum                                |
| F      | Costs that do not change with output in the short run                                             |
| G      | Aiming for a satisfactory level of profit rather than the maximum                                 |
| H      | The extra cost of producing one more unit                                                         |
| I      | Total revenue divided by quantity, which equals price                                             |
| J      | Producing the highest output possible while still earning normal profit ( $AC = AR$ )             |
| K      | Where AR equals AC, the minimum reward needed to keep the entrepreneur in the industry            |
| L      | When a fixed factor is used more intensively, each extra worker adds less to output than the last |

## Part B: Fill in the gaps

Word bank: marginal revenue · MC · long run · AVC · diseconomies · elastic · zero · AC · short run · MR

1. A firm maximises profit where \_\_\_\_\_ = \_\_\_\_\_.
2. Revenue is maximised where \_\_\_\_\_ is \_\_\_\_\_.
3. When MR is positive, demand is price \_\_\_\_\_.
4. In the \_\_\_\_\_ a firm should shut down if AR falls below \_\_\_\_\_.
5. In the \_\_\_\_\_ a firm should exit if AR falls below \_\_\_\_\_.
6. Rising long-run average cost is caused by \_\_\_\_\_ of scale.

## Part C: True or false? Correct any false statements.

1. MR lies above AR for a firm with a downward-sloping demand curve. T / F
2. MC cuts AC at its lowest point. T / F
3. Fixed costs rise as output rises. T / F
4. A perfectly competitive firm has  $AR = MR$ . T / F
5. Bulk-buying discounts are an external economy of scale. T / F
6. Supernormal profit means AR is below AC. T / F

## Part D: Define in one sentence

Average cost; long-run average cost curve; profit maximisation; shut-down point. (Write on your own paper.)

# Answers

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### Part A

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1 D 2 I 3 C 4 H 5 F 6 L 7 B 8 E 9 K 10 A 11 G 12 J

### Part B

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1.  $MC = MR$  (either order)
2. marginal revenue is zero
3. elastic
4. short run; AVC
5. long run; AC
6. diseconomies

### Part C

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1. False. MR lies below AR.
2. True.
3. False. Fixed costs do not change with output in the short run.
4. True. The price is the same for every unit.
5. False. Bulk buying is an internal (purchasing) economy.
6. False. Supernormal profit means AR is above AC.

### Part D (model answers)

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1. Average cost: total cost divided by quantity produced.
2. Long-run average cost curve: shows the lowest average cost of producing each output when all factors can change; the envelope of the short-run average cost curves.
3. Profit maximisation: producing where  $MC = MR$ , which gives the largest difference between total revenue and total cost.
4. Shut-down point: the point where AR falls below AVC (short run) or AC (long run), so the firm should stop producing.